5. Verification refers to
   (a) Examination of journal and ledger
   (b) Examination of vouchers related to assets
   (c) Examining the physical existence and valuation of assets
   (d) Calculation of value of assets

6. Which of the following statements is correct?
   (a) Valuation is a part of verification
   (b) Verification is a part of valuation
   (c) Valuation has nothing to do with verification
   (d) Auditor is a valuer

7. The store keeper maintains a ledger called _____
   (a) Store ledger
   (b) Stock ledger
   (c) Materials ledger
   (d) Materials issued ledger

8. Debit Note is raised by the _____
   _____
   (a) Trader who returns the goods
   (b) Trader who receives back goods
   (c) Trader who sells goods
   (d) The Transporter

9. Credit Note is raised by the _____
   (a) Trader who returns the goods
   (b) Trader who receives back goods
   (c) Transporter
   (d) Stores incharge

10. Materials transformed from one department to another department is entered through the document called _____
    (a) Materials transfer Note
    (b) Materials received Note
    (c) Goods inward Register
    (d) Goods outward Register

[Answers: 1.(a), 2.(b), 3.(a), 4.(b), 5.(c), 6.(a), 7.(a), 8.(a), 9.(b), 10.(a)]

II. Very Short answer Questions

1. Explain the auditor's duty with regard to credit purchases?
2. How will you vouch purchase day book?
3. What is Purchase invoice?
4. What is sales invoice?
5. Who is a Storekeeper?
6. What is meant by Stores ledger?

III. Short Answer Questions

1. Explain the auditor's duty with regard to purchase returns?
2. Write short notes on 1. Debit note 2. Credit note
3. Explain the points you would keep in view while vouching credit sales?
4. How would you vouch a sales book and sales returns book?

XI_Auditing_Chapter_8.indd 104 19-12-2019 13:07:28